

Ferrari ('RACE') Valuation

Can the Ferrari brand successfully absorb an industry-wide structural transition toward zero-emission?

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Executive Summary

In its 2025 Annual Report and 20-F filing, Ferrari ('RACE') states, "the introduction of electric technology in our cars is costly and its long-term success is uncertain." Given that recent worldwide industry regulations have made the introduction of electric and hybrid vehicles an inevitability, the company's claim raises a critical question: **With accelerating prioritization of zero-emission vehicles across the auto industry, can Ferrari's brand strength preserve its pricing power and competitive edge through the transition?**

Short answer: It depends; however, our recommendation is to short the Ferrari stock. The company's profits have historically been dependent on brand exclusivity, controlled volume, and strong pricing power. The transition toward zero-emission vehicles creates a structural tension: The company's economic moat relies on emotional differentiation and perceived scarcity, yet the introduction of electric vehicle (EV) technology may standardize performance characteristics across manufacturers and diminish product differentiation, possibly weakening the company's brand premium and sparking margin volatility.

Introduction

Ferrari, one of the world's leading luxury brands, trades at a large premium compared to the general automobile industry. However, while more aligned with the luxury goods market, the company is still affected by auto industry regulation and structural changes, mainly by the recent active transition toward EV technology, which serves as the largest structural shift within the industry in the last century. Given that the company's moat is brand-driven, if the implementation of EV diminishes emotional differentiation, the pricing power could weaken. However, if emotional differentiation is *not* impacted by the transition, the company will likely remain a luxury compounder and attract a new customer base with its EV production. In the analysis, we review whether the company's brand power will persevere through the increased prioritization of zero-emission vehicles. Existing literature suggests that our analysis should hinge on the importance of governmental policy in the global EV transition field, China's overwhelming control of the EV battery and pack manufacturing industry, and Ferrari's value as a luxury good vs. an automobile. Our findings from valuation – though unindicative of future true performance – highlight that the production of hybrid vehicles has had no negative effect on the Ferrari business value. However, Ferrari has not produced any official financial records of the impact of introducing BEVs (battery powered electric vehicles) to its production and sales. As a result, our claims regarding the future of Ferrari's brand power, after the transition toward soundless BEVs, are largely speculative and based on the global outlook on the reconstruction of the luxury goods market and the broad EV trends.

Literature Review

Empirical work on the global transition to EVs highlights two major trends that may impact Ferrari's future performance:

- (1) The transition to zero-emission vehicles is driven by governmental policy and mandates.
- (2) The EV supply chain – battery cell and pack production – is highly concentrated in China.

As per the International Energy Agency's (IEA) *Global EV Outlook 2025*¹, global electric car sales reached 17 million in 2024 and are projected to continue increasing in the coming years, with a large share of new-car sales comprising of EVs by 2030. However, outside of China, with subsidies and purchase incentives being retired, the growth has been stagnating. In the European Union, the recent fall in EV sales is driven by their high costs compared to internal combustion engine (ICE) vehicles.

Concurrently, the battery manufacturing and cell/pack production is geographically concentrated: China holds 80% of the global battery production and pack integration with leading cost efficiency, with the remaining 20% comprised of US, Japanese, and Korean manufacturing (Exhibit A.1). As per BloombergNEF², "China's lead in low battery prices continued in 2025, with average prices in the country dropping 13% to \$84/kWh. This is due to a combination of lower input costs, overcapacity, intense price competition and preference for lower-cost lithium iron phosphate (LFP) cells. Prices in North America and Europe were 44% and 56% higher, which is a big part of why EVs in those regions still cost more than their combustion counterparts."

The IEA also documents rapid declines in battery pack prices in China (Exhibit A.2). More importantly, however, it stresses the strategic importance of battery supply chains and the growing influence of Chinese producers in both production and export markets. As a result, global EV producers may become dependent on geopolitical or trade-policy changes within or related to China, which can materially affect costs and product strategy.

Although Ferrari's historic financials include progress on hybrid vehicles, there is no detailed, publicly available information regarding battery operated electric vehicles (BEV) and their cost structure, including the associated increase in research & development and capital expenditures. As a result, we cannot conclusively determine whether the Ferrari brand premium can resist the structural change and integration of BEVs. However, given the current global EV market exposure to governmental policy and geographically concentrated battery and pack production and manufacturing, IEA's analysis provides evidence for three major concerns:

- (1) The EV adoption dependence on policy and general consumer price sensitivity can slow EV growth in premium markets.
- (2) Battery and pack production and manufacturing concentration in China increases Ferrari's exposure to supply-chain and geopolitical risk.
- (3) Increasing model availability and performance parity among competing brands could weaken emotional differentiation that drives Ferrari's brand premium.

A review of the broad luxury goods market confirms that Ferrari should not be analyzed through a simple automotive lens. As per Bain & Company's *Luxury Goods Worldwide Market Study*

¹ Source: [iea.org](https://www.iea.org)

² Source: about.bnef.com

2025³, global luxury spending has been stable in 2025, totaling €1.44 trillion amid structural shifts in the consumer prioritization of experiences over material possessions. Although the luxury consumer base has been shrinking, the study highlights that spending has been concentrating among the ultra-high-net worth individuals, with emerging markets offsetting the regional imbalance of spending on luxury goods. Across luxury segments, while cars are impacted by declining volumes across price tiers, higher-end sport-oriented vehicles have shown remarkable resilience. Overall, the structural and compositional changes within the luxury goods market have been self-stabilizing, and the study projects 4-6% annual growth of the luxury goods market in the next decade, reaching €525-€625 billion, with overall luxury spending ranging from €2.2-€2.7 trillion. This is relevant for Ferrari.

As Damodaran⁴ claims in his personal valuation, Ferrari is more a status symbol than an automobile. Its economic value is driven by the luxury goods market. He claims that Ferrari's value comes from four main characteristics: styling, speed, story, and scarcity. These attributes allow Ferrari to command pricing power far exceeding that of traditional automotive manufacturers, reflected in persistently high margins and returns on invested capital. Crucially, Ferrari's controlled production volumes reinforce scarcity, aligning the firm more closely with luxury houses such as Hermès than with mass-market OEMs.

Unfortunately, the transition toward BEVs introduces a structural tension within this brand-based moat. The introduction of soundless BEVs and the standardization of instant torque and acceleration across manufacturers may reduce mechanical differentiation within the ultra-performance segment. If performance characteristics become increasingly commoditized, Ferrari's brand value may need to be heavily harnessed from symbolic capital to compensate for the lack of technological distinctiveness.

Luxury economics literature suggests that top-tier brands can sustain pricing power across category shifts. However, the durability of Ferrari's brand premium in a new, zero-emission landscape remains empirically untested. Though the demand for luxury goods is projected to persist and grow, the perseverance of Ferrari's emotional differentiation may falter with the introduction of BEVs (Exhibit B.1).

Ferrari's Economic Model

Ferrari's historic financials confirm that the firm operates less as a traditional automaker and more as a scarcity-driven luxury house. Its economic model relies on controlled production, pricing power, high operating leverage, and disciplined capital allocation, which drive structurally superior margins and returns on invested capital.

Revenue Structure and Pricing Power: Ferrari generated €7.5 billion in revenue in 2025, with "Car and Spare Parts" constituting 84% of the total. Between 2024 to 2025, while total shipments remained largely consistent (13,752 to 13,640), total revenue still rose by 7%, indicating that revenue growth continues to outpace shipments. This gap reflects sustained increases in average

³ Source: bain.com

⁴ Source: pages.stern.nyu.edu

selling prices, which climbed from €374.7k in 2023 to €440.3k in 2025. The observed revenue expansion independent of volume expansion explicitly demonstrates Ferrari's ability to establish controlled scarcity and strong pricing power, monetizing brand equity per unit sold.

As of 2025, though hybrid shipments accounted for 51.3% and 42.0% of total deliveries in 2024 and 2025, respectively, their addition has had no negative impact on pricing or margins. The lack of decrease in price despite the significant presence of hybrid shipments suggests that thus far electrification has complemented rather than diluted brand strength.

Margin Structure and Profitability: Ferrari's profitability further confirms its status as a luxury good. Contrasting most global OEMs' performance, Ferrari's EBIT margins expanded from 27.1% in 2023 to 29.5% in 2025. In line, our projected margins remain elevated, stabilizing around 26% – a level more consistent with luxury goods rather than automotive manufacturers. Even with higher R&D and capital spending related to electrification, operating margins did not compress, suggesting that Ferrari's price power and product mix optimization has offset the technology costs and highlighting Ferrari's ability to internally fund the technological transition.

Capital Intensity and Reinvestment: Ferrari exhibits disciplined reinvestment dynamics. Capital expenditures have averaged approximately 13–15% of revenue historically, and depreciation has remained around 10–11% of revenue, indicating steady asset turnover. The firm generates strong free cash flows, with FCFF exceeding €3.0 billion in 2025. Transition-related reinvestment requirements, while significant, do not materially erode free cash flow generation. Finally, Ferrari's return on invested capital remains exceptionally high, exceeding 40% in 2024 and reflecting the power of their intangible brand capital.

Economic Implications: Ferrari's economic model relies on four major drivers:

- (1) Controlled supply growth
- (2) Sustained ASP expansion
- (3) Sustained operating margins
- (4) Excess returns on invested capital

These drivers have held through the hybrid transition, suggesting that electrification has so far complemented rather than weakened Ferrari's economics. The key uncertainty lies in the shift to full BEVs, where performance standardization may challenge the durability of Ferrari's pricing structure.

Structural Tension: EV vs Brand

Historically, Ferrari's economic moat has relied on mechanical distinction, emotional resonance, and controlled scarcity. In addition to new exposure to battery cost volatility due to the geographic concentration of battery production in China, the transition toward battery electric vehicles (BEVs) introduces structural tension because electrification standardizes key performance attributes. Across their ICE vehicles, Ferrari differentiates itself through engine sound, throttle response, and bespoke mechanical engineering. In BEV production, instant torque

and rapid acceleration are technologically accessible across manufacturers. This eliminates Ferrari's engineering superiority and erodes its pricing power.

Additionally, as seen historically, electrification is largely governmental policy-driven rather than consumer-driven. Ferrari's ultra-high-net-worth clientele may prioritize experiential authenticity – engine sound, heritage, and craftsmanship – over regulatory compliance. As a result, if BEVs weaken emotional differentiation, Ferrari's brand premium could diminish despite scarcity.

Valuation Framework

Our valuation relies on Ferrari's historic financials from 2015-2025, which we then use to project the company's performance through 2035 and its terminal equity value and intrinsic value per share. We arrive at a base case intrinsic value of €226.84 per share (Exhibits C.1-C.3). The components of the valuation are described as follows:

Revenue: As per Ferrari's annual reports and 20-F, we disassemble the total revenue into (1) automotive revenue and (2) sponsorship, commercial, brand, and other revenue. Using the provided total shipments, we calculate the average selling price (ASP) for 2015-2025, which we then project using a historic average that converges to 3% in the long-term while adjusting the composition of total shipments to mark Ferrari's goal of reaching 40% ICE, 40% hybrid, and 20% BEV portfolio by 2030 and keeping it steady afterwards. We project the sponsorship, commercial, brand, and other revenue using the same method.

Research & Development: To project R&D for years 2026-2030, we calculate R&D as a percentage of revenue and use the average share of 18.37% from 2017-2022. We exclude the R&D share from years 2023-2025 because they represent a stabilization period, whereas the earlier years' percentages are better aligned with a transition phase of introducing hybrid vehicles then and battery electric vehicles now. We then linearly stabilize R&D to a long-term share of 8.59%, which represents the average share of R&D as percent of revenue in the stabilization period of 2023-2025 post-introduction of hybrid vehicles to the market.

EBIT: To project EBIT, we calculate historic EBIT margins. Then, we match the EBIT margins of the transition (2026-2030) and stabilization periods (2030-2035) to their respective counterparts in historic hybrid vehicle transition and stabilization periods, converging to a 26% long-term EBIT margin. The fall of EBIT margins after 2026 captures the additional cost of batteries associated with the introduction of BEV.

Tax Expense: To project the tax expense, we use the historic average tax rate of 23.08% and keep it steady throughout.

Invested Capital (IC): Instead of projecting capital expenditures (CapEx), to capture true value creation and returns on investment, we project invested capital and use it to calculate return on invested capital (ROIC) and reinvestment rate (RR). To project invested capital, we use a slightly elevated share of revenue of 45% initially (in line with the most recent share of 43.71%) and keep it steady through the transition stage of 2026-2030. Then, we linearly converge the percentage to

a long-term terminal rate of 40%, which is in line with a desired and optimistic terminal ROIC of ~50%.

To calculate ROIC, we use:

$$ROIC = \frac{NOPAT}{(IC^{t-1} + IC^t)/2}$$

To calculate RR, we use:

$$RR = \frac{Revenue\ Growth}{ROIC}$$

Depreciation & Amortization (D&A): To project D&A, we use the historic average D&A rate of 12.37% and keep it steady throughout.

Change in Operating Working Capital (OWC): We use a change in OWC instead of net working capital (NWC) to avoid FCFF distortion from cash balances, short-term borrowing, or treasury management. To project OWC for years 2026-2030, we calculate OWC as a percentage of revenue and use the average share of -15.39% from 2021-2023. We exclude the OWC share from years 2023-2025 because they represent a stabilization period, whereas the earlier years' percentages are better aligned with a transition phase of introducing hybrid vehicles then and battery electric vehicles now. We then linearly stabilize OWC to a long-term share of -7.74%, which represents the average share of OWC as percent of revenue in the stabilization period of 2023-2025 post-introduction of hybrid vehicles to the market. We then, calculate the difference between OWC from year-to-year.

Weighted Average Cost of Capital (WACC): We use the WACC approach to discount our FCFF. Using the most recent market value of equity and debt from the balance sheet, we calculate the weights for each and the overall capital structure. We then use a beta of 1.07, a market risk premium (MRP) of 5.50%, and a risk-free rate (RFR) of 2.79%⁵ to calculate the cost of equity. The beta is derived from the most recent CFRA report on Ferrari, and the RFR is from the EU 10-year treasury yield curve. We calculate the cost of debt using the interest expense from the balance sheet. Finally, we use a terminal growth rate of 3% to arrive at a WACC of 8.29% (Exhibit C.4).

Sensitivity Analysis: We stress test our terminal EBIT margin, growth, beta, and WACC values (Exhibit C.5).

- (1) Varying the EBIT margin values from 22%-30%, we arrive at an intrinsic value range of €198.65-€255.03 per share.
- (2) Varying the beta values from 0.70-1.10 and terminal growth rate from 2.50%-3.50%, we arrive at an intrinsic value range of €205.66-€432.81 per share.

⁵ Source: ecb.europa.eu. As of February 20, 2026.

- (3) Varying the WACC values from 7.00-9.00% and terminal growth rate from 2.50%-3.50%, we arrive at an intrinsic value range of €185.620-€346.62 per share.

Counterarguments

On the contrary, recent policy developments show that governments are rolling back or scaling down several programs intended to accelerate electric-vehicle adoption. EV demand has not expanded at the pace policymakers anticipated, and the market has begun to show signs of saturation outside early-adopter segments, especially as the general EV market has not grown and adapted at the same pace as in China. For example, in the United States, fully electric vehicles accounted for only one in ten new cars sold in 2025, underscoring the gap between regulatory ambition and consumer willingness to pay.

As a result, the policy conversation has shifted away from aggressive growth targets towards a more cautious cost-focused approach. Governments are reducing financial commitments to programs designed to accelerate the transition and are instead focusing on how to keep the EV ownership practical and sustainable. The National Highway Traffic Safety Administration (NHTSA) proposed a rule to roll back federal vehicle efficiency standards under the Corporate Average Fuel Economy (CAFE) framework, easing compliance pressure on automakers and slowing the regulatory push toward full electrification.

In addition, the total cost of EV ownership has become a growing concern for consumers. In many U.S. states, EV owners now face higher combined fees and taxes than owners of gasoline vehicles due to flat registration surcharges, per-kilowatt-hour charging taxes, and multiple layered fees intended to replace lost gasoline-tax revenue. These added costs weaken the economic case for EV adoption and further justify the government's retreat from earlier, more aggressive mandates.

The combination of the easing of government EV programs and the rising cost burden placed on EV owners make a rapid acceleration in EV adoption increasingly unlikely. This reduces the near-term regulatory pressure on high-end manufacturers such as Ferrari and suggests the company is unlikely to face an abrupt disruption to its market position. Ferrari's luxury-driven economics – rooted in scarcity, pricing power, and brand capital – remain intact in the current policy environment. However, the long-term implications of full BEV adoption still warrant caution, as the structural shift toward electrification may eventually test the durability of Ferrari's brand premium.

Results & Conclusions

Ferrari occupies a unique position at the intersection of luxury and automotive manufacturing. With exceptional pricing power, structurally high margins, and superior returns on invested capital, the company has historically operated as a scarcity-driven luxury house rather than a traditional OEM. The hybrid transition provides no evidence of diluted price power: Despite increased R&D intensity and technological integration, Ferrari preserved ASP growth, EBIT margins near 30%, and ROIC above 40%. However, the transition to full BEVs introduces a more profound structural tension. Unlike hybrids, BEVs risk standardizing key performance

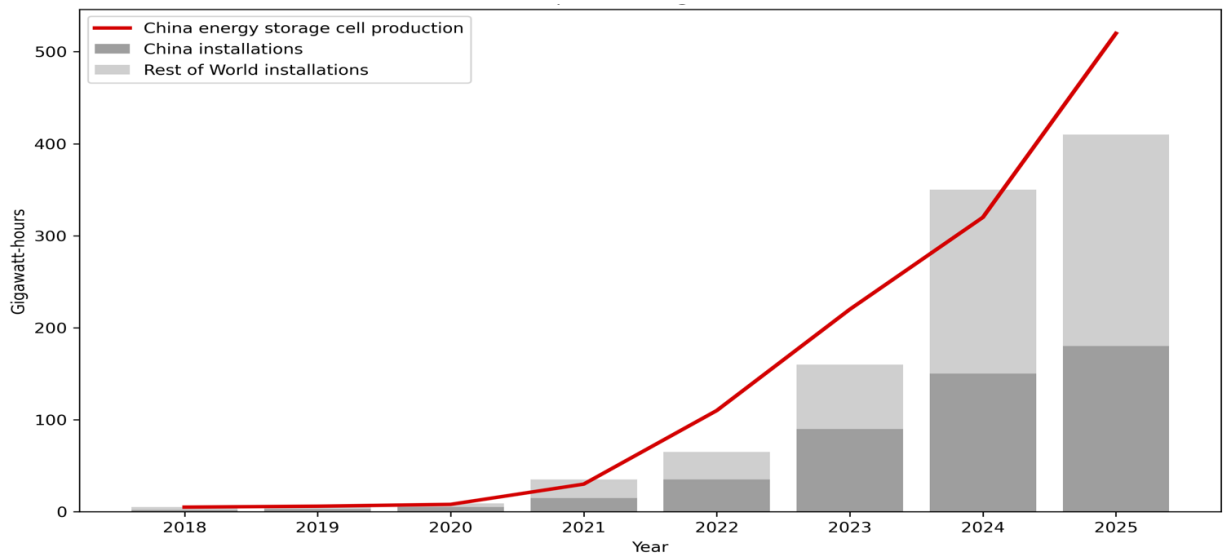
attributes — instant torque, acceleration, and drivability — which have historically differentiated Ferrari's engineering excellence. If performance becomes increasingly commoditized across ultra-performance manufacturers, Ferrari's ability to sustain premium pricing will depend almost entirely on *symbolic* capital: brand, heritage, design, and controlled scarcity.

Under a base case scenario that assumes moderate margin compression during the BEV transition and long-term stabilization at a 26% EBIT margin, we estimate an intrinsic value of €226.84 or \$264.65 per share. **With its stock price trading at roughly €304 as of March 3, 2026, we reiterate the shares are overvalued.**

Sensitivity analysis demonstrates material exposure to terminal margin, growth, and cost of capital assumptions, reinforcing that small changes in long-term brand durability significantly impact valuation outcomes. Relative to the market value of \$362.75 per share as of market close on March 2nd, 2026, our valuation implies a ~27% downside. As a result, if governments continue aggressive efforts of transition toward zero-emission vehicles and BEV standardization erodes mechanical differentiation, then we recommend a sell position prior to Ferrari's full BEV rollout.

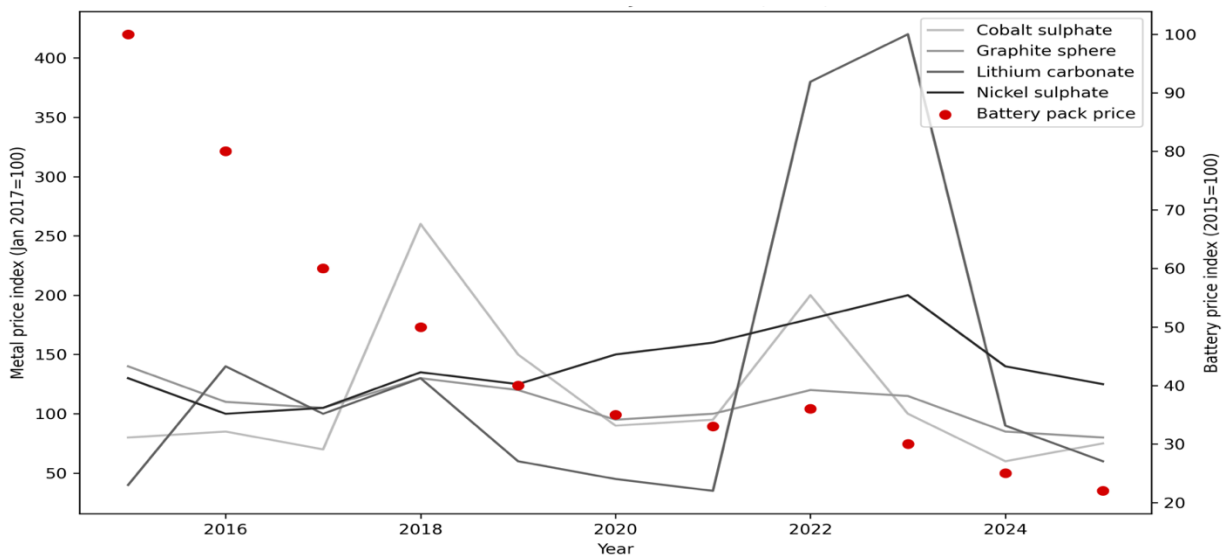
Appendix

Exhibit A.1: China Battery Pack Production Growth⁶



China dominates battery pack manufacturing, holding 80% of the global production.

Exhibit A.2: Metal Price vs Battery Pack Price Behavior⁷

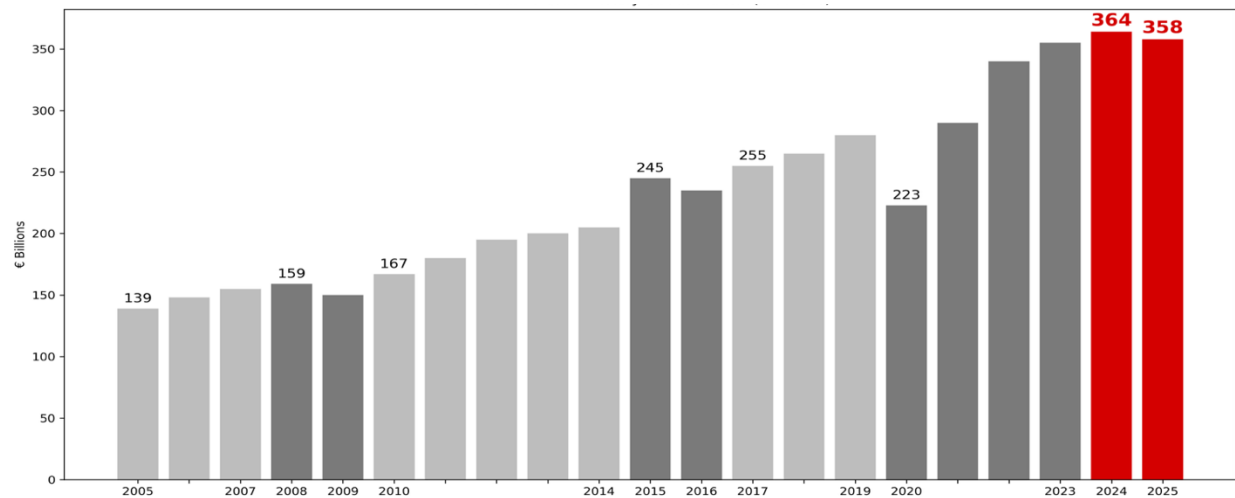


Though metal prices keep increasing, the battery pack prices have been falling consistently.

⁶ Source: about.bnef.com

⁷ Source: [iea.org](https://www.iea.org)

Exhibit B.1: Luxury Goods Market (€ Billions)⁸



The luxury goods market has been stabilizing since the COVID crisis and is on a rebound.

Exhibit C.1: Forecast Financial Summary in € Millions (2026–2035)⁹

Year	Revenue	EBIT	NOPAT	FCFF
2026	8,101	1,966	1,512	1,059
2027	9,184	2,142	1,648	1,128
2028	10,226	2,386	1,835	1,340
2029	11,387	2,656	2,043	1,491
2030	12,679	2,957	2,275	1,660
2031	13,948	3,347	2,575	1,982
2032	15,100	3,775	2,904	2,382
2033	16,083	4,101	3,155	2,723
2034	16,848	4,380	3,369	3,044
2035	17,353	4,512	3,471	3,063

⁸ Source: bain.com

⁹ Source: Author's assumptions

Exhibit C.2: Present Value of Cash Flows¹⁰

Component	€ millions
PV of FCFF (2026–2035)	13,815
PV of Terminal Value	28,671
Enterprise Value	41,630
Net Debt Adjustment	(1,416)
Equity Value	40,214
Shares Outstanding	—
Intrinsic Value per Share (€)	226.84

Exhibit C.3: Key Operating Assumptions⁸

Assumption	2026	2030	2035
Revenue Growth	13.37%	11.35%	3.00%
EBIT Margin	24.27%	23.32%	26.00%
Tax Rate	23.08%	23.08%	23.08%
Reinvestment Rate	29.93%	27.02%	5.99%
ROIC	44.67%	42.01%	50.12%

Exhibit C.4: WACC Calculation (€ Thousands)

WACC	
Market Value of Equity	€54,009,288.30
Total Debt	€2,884,220.00
W(E)	94.9305%
W(D)	5.0695%
Beta	1.07 ¹¹
MRP	5.50%
Risk Free Rate	2.79% ¹²
Cost of Equity	8.67%
Interest Expense	€41,168.00
Tax Rate	23.08%
After-Tax Cost of Debt	1.10%
Terminal Growth Rate	3.00%
WACC	8.29%

¹⁰ Source: Author's assumptions

¹¹ Source: CFRA RACE Report.

¹² Source: FRED.stlouisfed.org. As of February 20, 2026.

Exhibit C.5: WACC vs. Terminal Growth Rate Sensitivity Analysis

WACC / Terminal Growth	2.50%	3.00%	3.50%
7.00%	€283.06	€310.86	€346.62
8.00%	€225.03	€241.77	€262.23
8.29%	€212.15	€226.84	€244.60
9.00%	€185.20	€196.06	€208.90

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